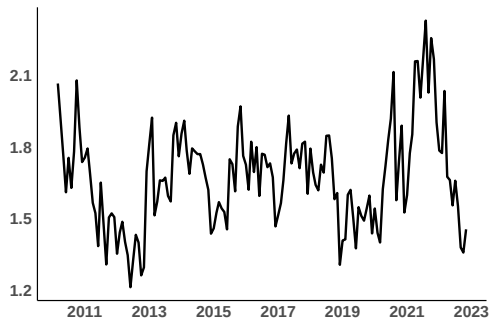
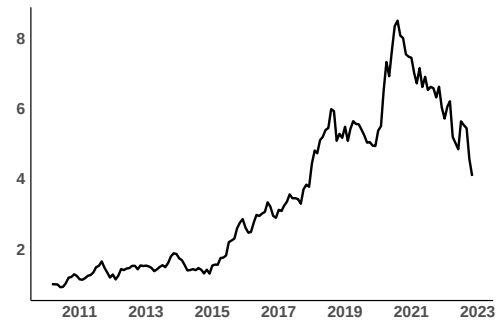
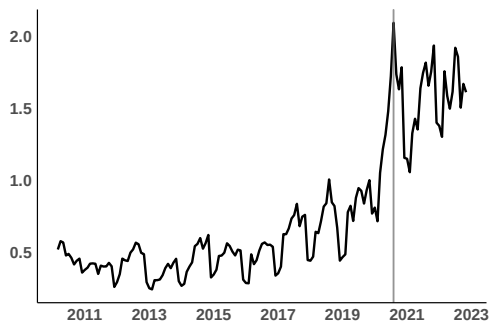




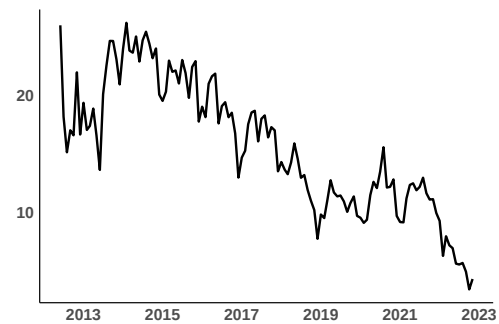
(a) Alphabet



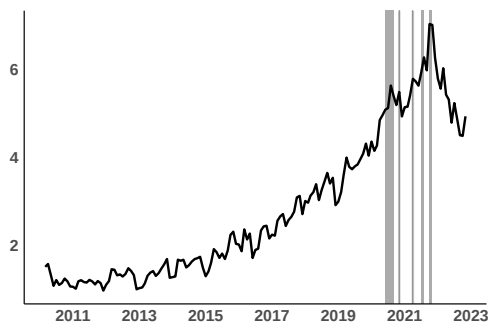
(b) Amazon



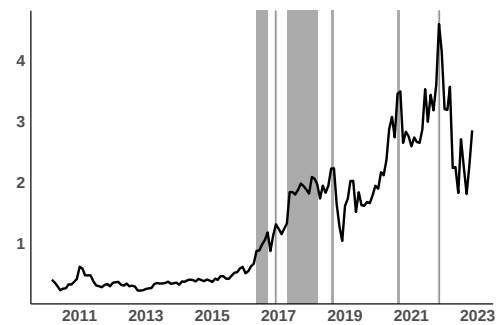
(c) Apple



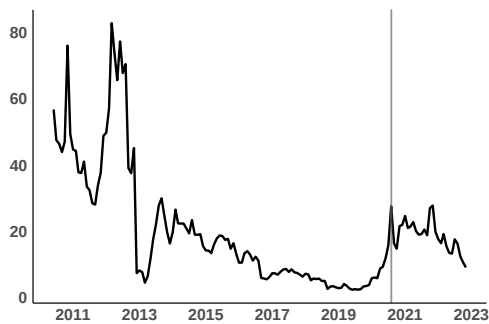
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(e) Microsoft



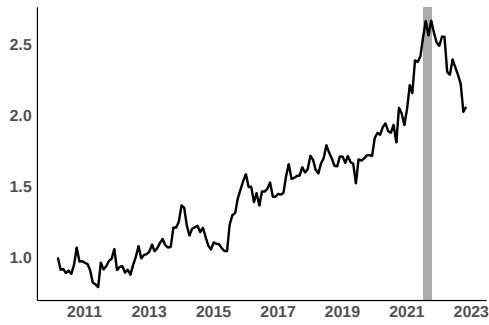
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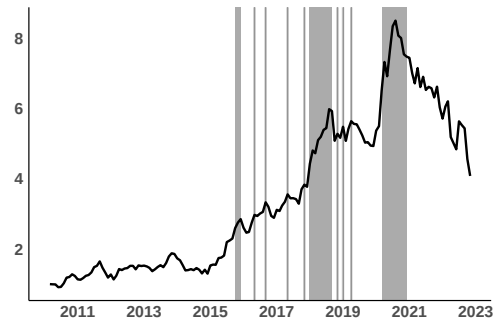
(g) Tesla

Note: This figure displays results of the PSY test applied to the ratio of the (adjusted) Mag-7 stock prices to sales. The shaded areas show periods where the PSY statistic exceeds 90% bootstrap critical value (2000 replications) over Period 1 sample. Lag length selection is based on Bayesian Information Criterion with a max lag of 6.

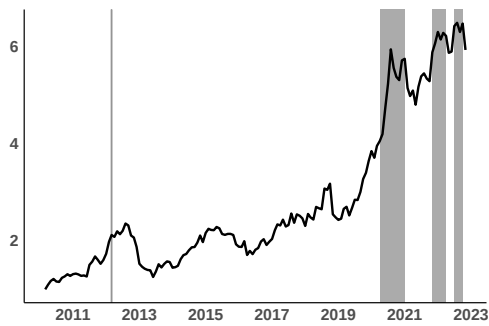
22
Figure 4.1: PSY Test on the Price to Sales Ratio



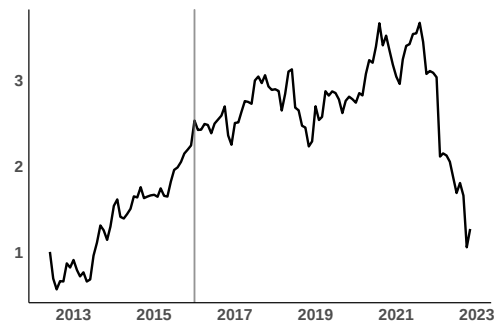
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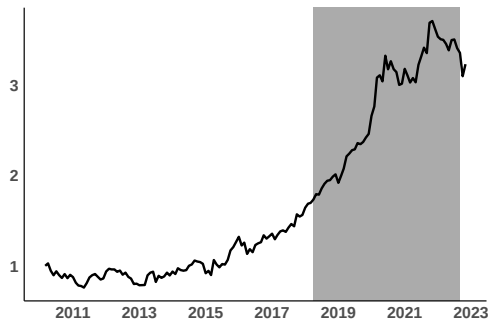
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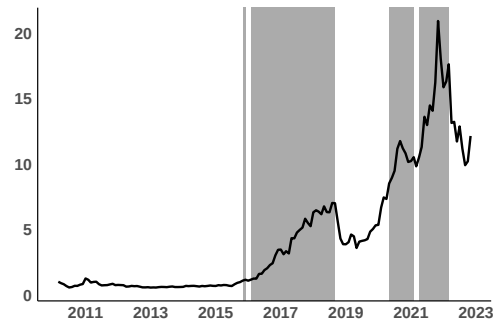
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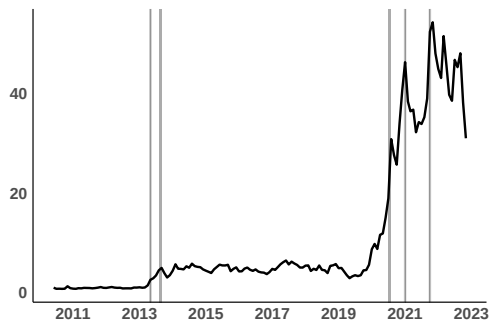
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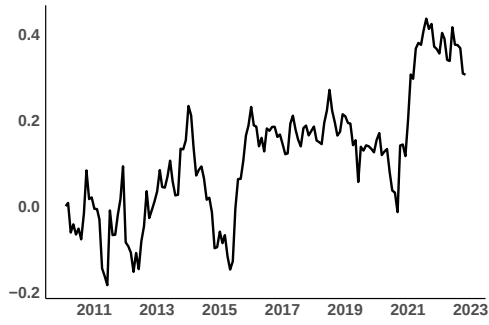
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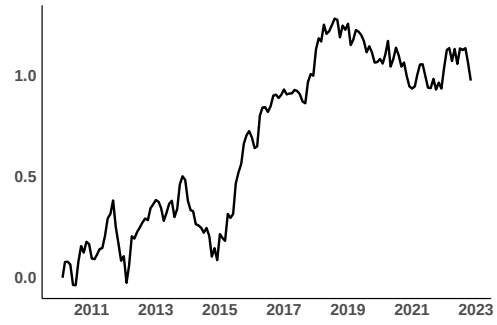
(g) Tesla

Note: This figure displays results of the PSY test applied to the ratio of the (adjusted) Mag-7 stock prices to S&P 500 Index. The shaded areas show periods where the PSY statistic exceeds 90% bootstrap critical value (2000 replications) over Period 1 sample. Lag length selection is based on Bayesian Information Criterion with a max lag of 6.

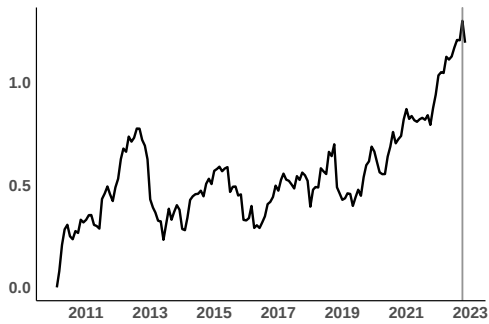
Figure 4.2: PSY Test on the Price to S&P500 Ratio



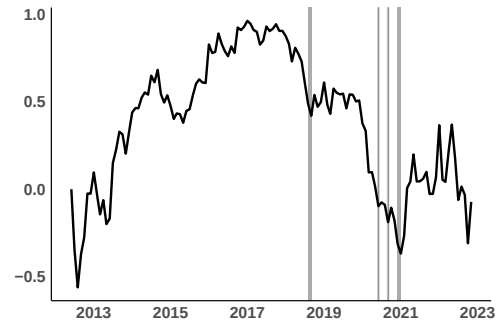
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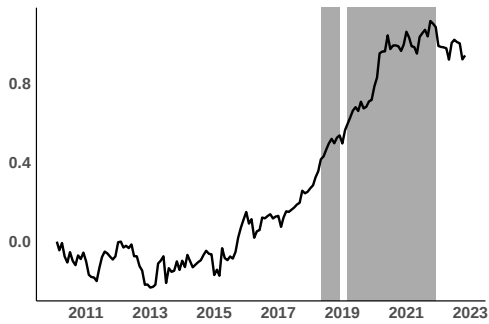
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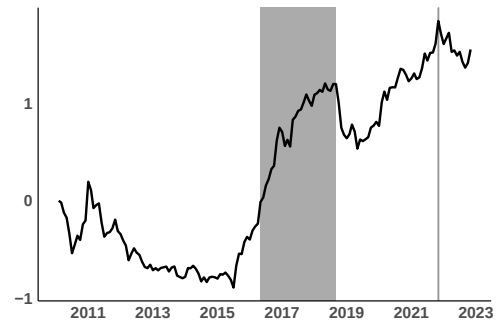
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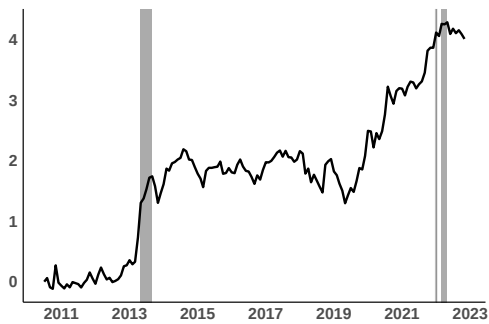
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(e) Microsoft



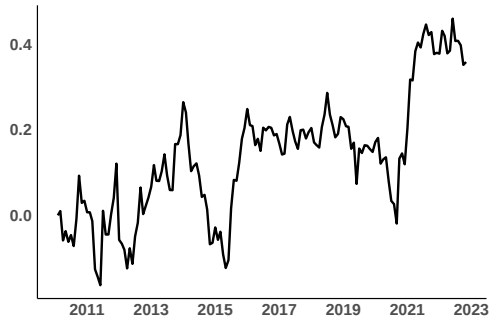
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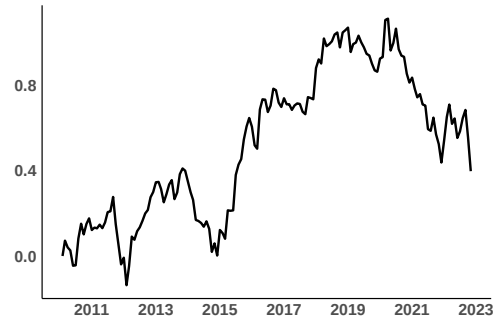
(g) Tesla

Note: This figure displays results of the PSY test applied to the idiosyncratic components (IC) of the Mag-7 stock based on Fama-French 3 factor model. The shaded areas show periods where the PSY statistic exceeds 90% bootstrap critical value (2000 replications) over Period 1 sample. Lag length selection is based on Bayesian Information Criterion with a max lag of 6.

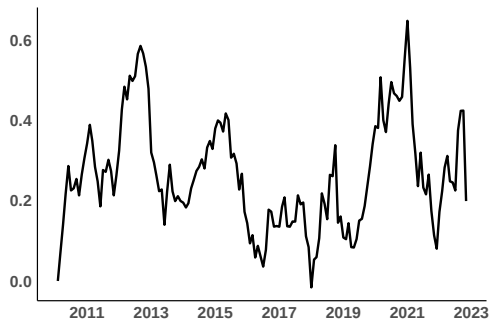
Figure 4.3: PSY Test on the IC Components (Fama-French 3 factor)



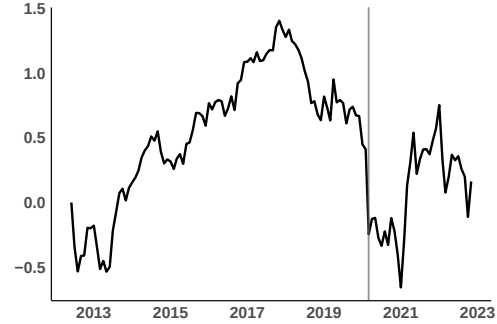
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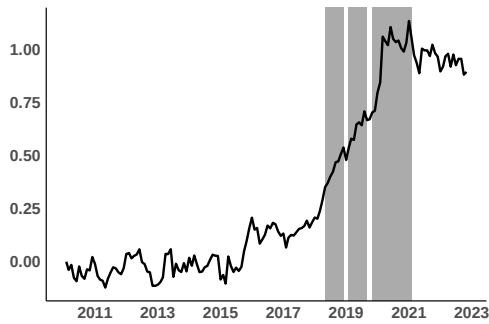
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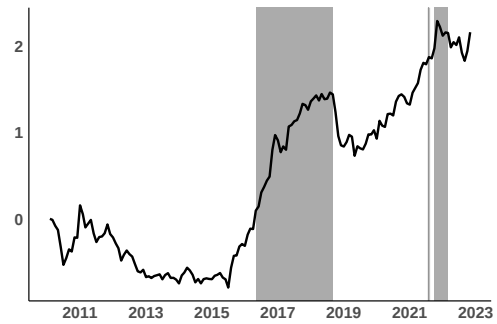
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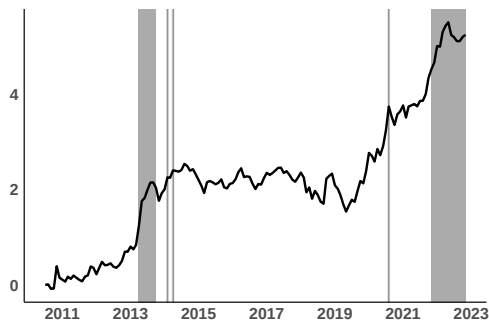
(d) Meta



(e) Microsoft



(f) Nvidia



(g) Tesla

Note: This figure displays results of the PSY test applied to the idiosyncratic components (IC) of the Mag-7 stock based on Fama-French 5 factor model. The shaded areas show periods where the PSY statistic exceeds 90% bootstrap critical value (2000 replications) over Period 1 sample. Lag length selection is based on Bayesian Information Criterion with a max lag of 6.

Figure 4.4: PSY Test on the IC Components (Fama-French 5 factor)